# Test marketing innocent [10].docx

Thursday, 12 September 2024 6:21 AM

Test marketing...

Test marketing...

**Test marketing innocent [8]**

**Source for use with Section B**

**Extract C**

**Hello we are *Innocent* – Our story**

We are three entrepreneurs who met at university and formed *Innocent* after test marketing our first drink at a music festival. We are now Europe's best-selling smoothie business and continue to develop new and healthy products.

Our purpose is to make natural, delicious and healthy drinks that help people live well. *Innocent* smoothie drinks contain the finest fruit we can find, we do not add sugar or anything else. We make tasty, healthy and convenient products to help people have more fruit and vegetables in their diet.

Our products include:

- Smoothies and juices made entirely from fruit and vegetables
- Drinks and snacks for children
- Lunch pots that provide three portions of vegetables in every pot
- Coconut water, which is natural and fat free
- The first smoothie made from 100% British fruit.

**Our product trials and test marketing**

- We sold our first smoothies from a stall at a music festival in London. We put up a big sign asking people if they thought we should give up our jobs to make smoothies, and put a box saying 'Yes' and a box saying 'No' in front of the stall. Then we got people to vote by putting their empty bottles into the boxes marked 'Yes' or 'No'. At the end of the weekend, the 'Yes' box was full, so we gave up our jobs to start *Innocent*.
- We agreed a contract with a UK supermarket to sell our smoothies in 10 of their shops before launching on a larger scale.
- We regularly visit schools close to our offices and ask the children to taste and give feedback on new products that we are developing for our younger consumers.

**Read Extract C.**

Before launching on a larger scale, *Innocent* agreed a contract with a UK supermarket to sell its smoothies in 10 of the supermarket's shops.

Assess the advantages for *Innocent* of test marketing its products.

**(10)**

| Question | Indicative content |
|---|---|
| | **Indicative content guidance**<br>Answers must be credited by using the level descriptors (below) in line with the general marking guidance. The indicative content below exemplifies some of the points that candidates may make but this does not imply that any of these must be included. Other relevant points must also be credited.<br><br>**Knowledge, Application, Analysis, Evaluation – indicative content**<br>• Test marketing involves trialling the product in a small area or to a limited number of users to assess the suitability of a product.<br>• The smoothies were sold in 10 UK shops to test whether the product would sell. This allows *Innocent* to determine the potential success of their products.<br>• *Innocent* are able to gather feedback and make changes to the products before launching on a larger scale and so preventing costly mistakes.<br>• Selling in 10 shops enables them to gather sales data to assist with production planning for potential future demand.<br>• However, a disadvantage of test marketing is the cost which can be expensive and time consuming.<br>• Testing the new products in a limited number of shops may delay the launch of the product which may mean losing first-mover advantages.<br>• During test marketing *Innocent* may run the risk of competitors learning about their products which may be copied and brought to the market earlier.<br>• Results from test marketing may not be conclusive and do not always predict success. Products that sell locally might not sell well in other geographical areas. *Innocent* run the risk that the findings from the test marketing is not representative of other groups of customers. |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | Isolated elements of knowledge and understanding – recall based.<br>Weak or no relevant application to business examples.<br>Generic assertions may be presented. |
| **Level 2** | 3–4 | Elements of knowledge and understanding, which are applied to the business example.<br>Chains of reasoning are presented but may be assertions or incomplete.<br>A generic or superficial assessment is presented. |
| **Level 3** | 5–7 | Accurate and thorough knowledge and understanding, supported |

| | | |
|---|---|---|
| | | throughout by relevant and effective use of the business behaviour/context.<br>Analytical perspectives are presented, with developed chains of reasoning, showing cause(s) and/or effect(s).<br>An attempt at an assessment is presented, using quantitative and/or qualitative information, though unlikely to show the significance of competing arguments. |
| **Level 4** | 8–10 | Accurate and thorough knowledge and understanding, supported throughout by relevant and effective use of the business behaviour/context.<br>A coherent and logical chain of reasoning, showing cause(s) and/or effect(s).<br>Assessment is balanced, wide ranging and well contextualised, using quantitative and/or qualitative information, and shows an awareness of competing arguments/factors, leading to a supported judgement. |